

Inheritance Tax Planning

After paying taxes for most of our lives, it can be disappointing to know that when we eventually pass our wealth on to our loved ones, inheritance tax charges may apply.

Important, there is no inheritance tax liability between spouses. This means that inheritance tax only becomes due when the 'surviving spouse' passes away.

About Inheritance Tax

Inheritance tax is a tax on the total value of our estate upon death (including property, pensions, savings, investments and other assets).

Tax is only payable on estates with a value above the inheritance tax threshold. This threshold is subject to personal circumstances, typically including the following elements:

- **The Nil Rate Band:**
Currently £325,000 and set to remain fixed at this level until April 2028.
- **The Residence Nil Rate Band:**
Currently set at £175,000 for those who own their main residence and who will pass it on to their children/grandchildren.

For married couples, the surviving spouse can inherit their spouse's Nil Rate Bands, effectively 'doubling up' their total inheritance tax threshold to a maximum of £1m.

Any excess above the threshold, will be liable to inheritance tax, currently at a rate of 40%.

How You Can Reduce Your Exposure to Inheritance Tax

There are many ways to reduce or avoid inheritance tax altogether, if you plan in advance:

- Make gifts to family and loved ones
- Move assets into a trust
- Take out a life assurance policy to cover the tax bill
- Shelter assets within tax-efficient investments
- Utilise Business Relief / Replacement Relief

Ideally, each option should be explored, along with expert advice, to help you make fully informed decisions.

The independent financial advice we provide is fully guaranteed by New Leaf Distribution Ltd. We also carry professional indemnity insurance with a maximum claims limit of £2m per claim.



Further Information & Support

For help with reducing your exposure to inheritance tax, please contact John Castle of Castle Financial Planning:

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